

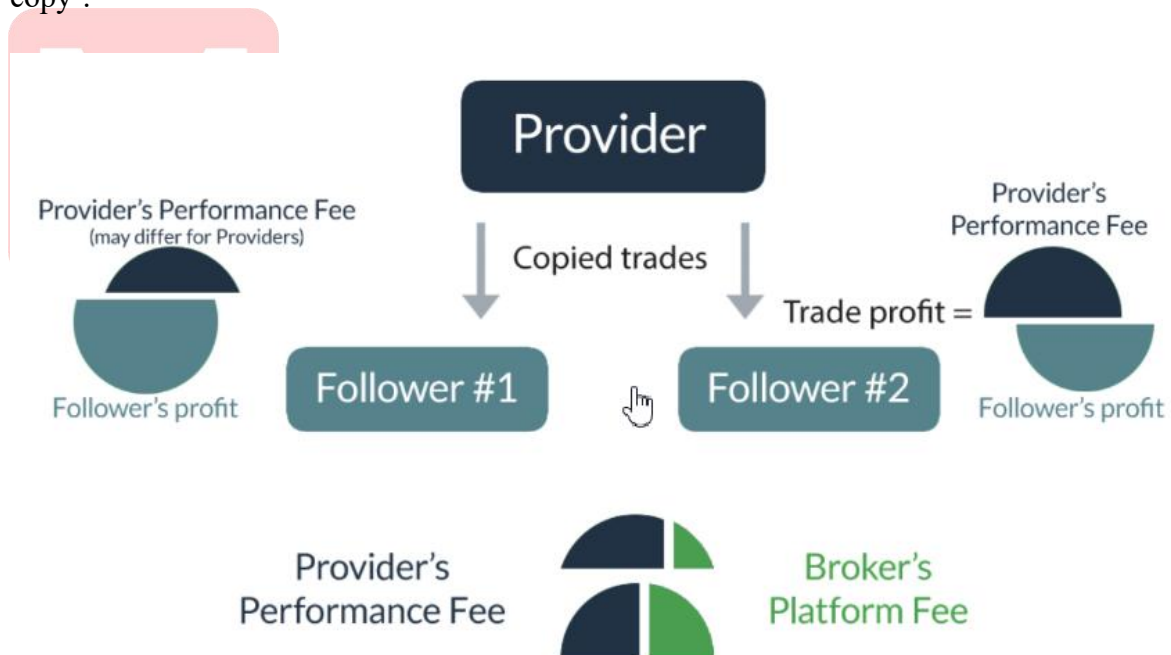
General Description

The Social Trading solution is designed to provide a trade copying functionality. The goals of this solution are:

1. To copy trades from a source account into a target account;
2. To establish the environment for the traders to register in copying schemes and configure them;

Social Trading Concept

Successful traders (in Social Trading's terminology, Providers) may want to share their trading strategy with less experienced traders (Followers) in exchange for a percent of the profit generated by copying the strategy. This concept is called 'social trading' or 'social copy'.



Key Features of the Social Trading Solution

Infrastructure:

- Cross-server functionality (MT4 and MT5)
- Ratings module featuring trading statistics

Configurability:

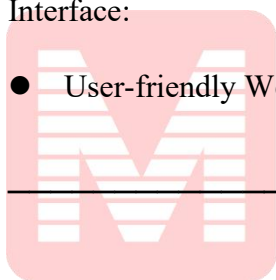
- Multiple Provider and Follower configurations

Copying process:

- Subscription-wide Stop Loss and Take Profit levels
- Provider and Follower's copy strategies
- Various copy modes and filters

Interface:

- User-friendly Web UI



User Roles and Workflows

The solution is used by different user roles. A role defines which functions, restrictions and permissions a user has in Social Trading.

For better understanding of the roles, the subsections below include the descriptions of the typical workflows: who is meant to occupy a specific role in the brokerage's infrastructure, and how this person may profit from using Social Trading.

Clients

Clients are the actual people registered in Social Trading. A client entity represents a person who owns one or more MetaTrader accounts (trading accounts) and uses them as providers and/or followers in Social Trading schemes. The trader might add more trading accounts and



create more providers/followers, but they will manage them all as a client from one place, logging in using credentials of the initial (Main) account.

i NOTE: A client cannot join their own providers with their own followers.

Client's Workflow

1. Creating new providers and/or subscriptions;
2. Ongoing process: Earning money from one or more providers and subscriptions.

Providers

Provider is a client's trading account functioning as a source of trades, which are copied to other clients' target accounts (follower accounts). Providers can set up copying strategies and offers. Offers define the Performance fee and other conditions for the provider's followers.

Provider's Workflow

1. Registering a new provider;
2. Attracting followers by appearing in Ratings or creating beneficial offers;
3. Ongoing process: Managing the copy settings (tuning provider strategy; archiving subscriptions);
4. Ongoing process: Trading via MetaTrader as usual;
5. Ongoing process: Receiving Performance fees from followers and paying Platform Fees to the broker.

Followers

Follower is a client's trading account functioning as a target for trades, which are copied from source accounts (provider accounts). A follower account can follow multiple providers, each of these target-source binds is called subscription.

Followers can set up copying Strategies and Risk management for their subscriptions.

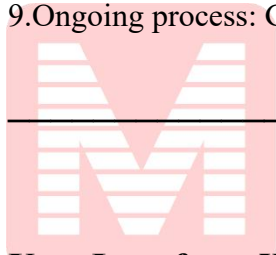
Follower's Workflow

6.Choosing a provider to copy from on the registration page (or picking one from the Ratings Module's leader-boards, optional);

7.Creating a subscription;

8.Managing the subscription (Subscription Strategy, Risk Management);

9.Ongoing process: Getting profit from copied trades;



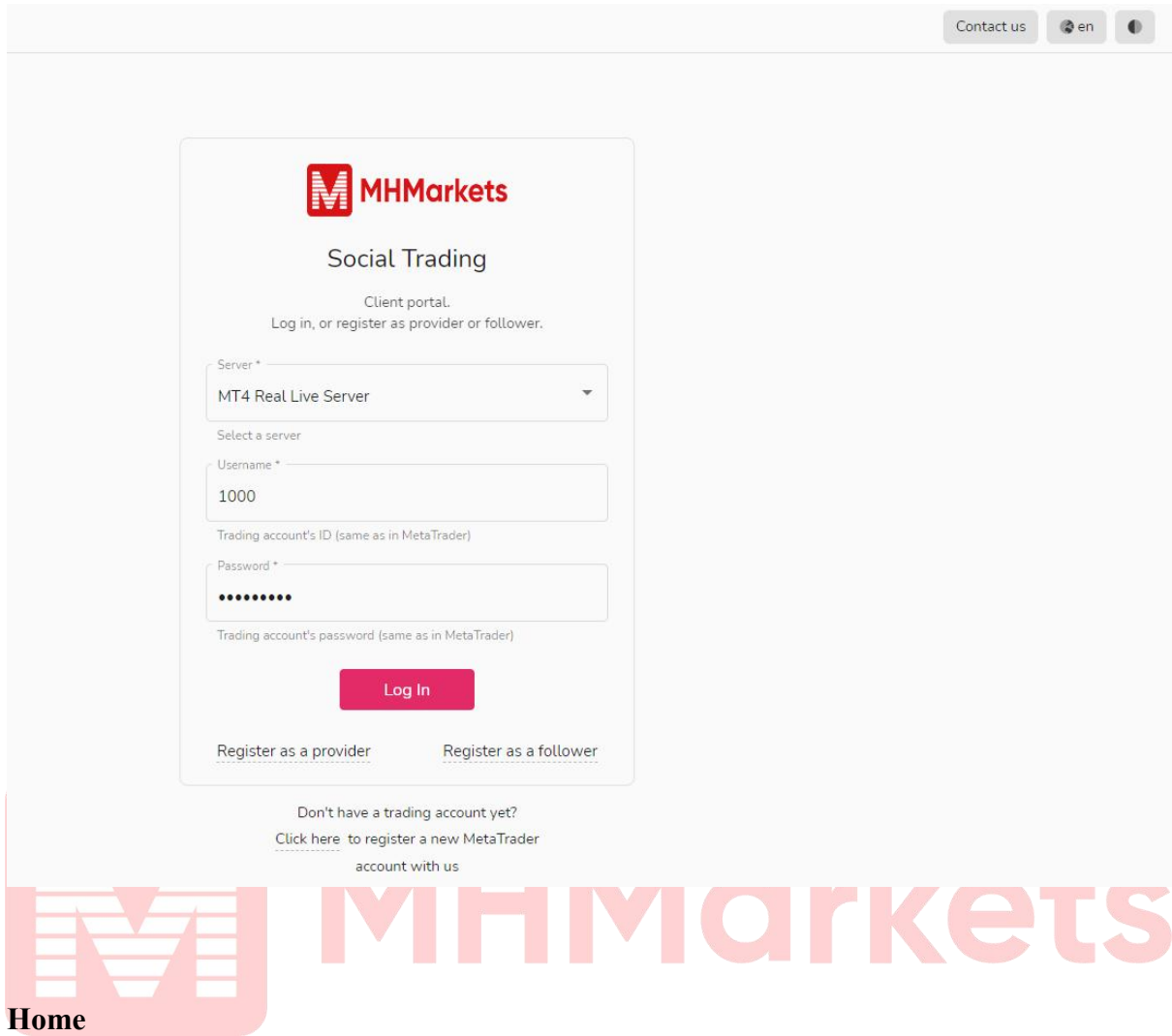
User Interface: Web Portals

Client Portal

Login page

Login dialog for clients (for providers, followers and clients who are the both). Expects the clients' Main account credentials (or one of the Additional account credentials if it is allowed by the Client Configuration). Available at:

<https://socialtrading.mhmarkets.com/portal/login>



Home

Homepage of a client.

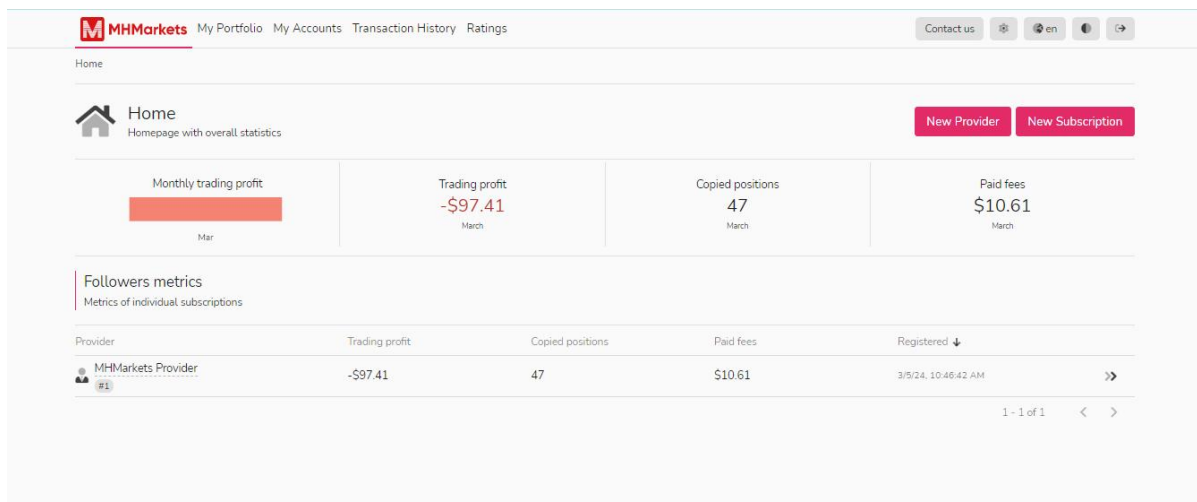
Contains client Dashboard, Leader-board, Listing with available client's Trading accounts.

Allows the client to create providers, providers and monitor paid/receiver fees on the Transactions History page.

If the client has subscriptions, the Ratings widget is also visible for them.

Available when logged in as a client at:

<https://socialtrading.mhmarkets.com/portal/login>



! NOTE: If a client has no providers, the My Providers tab is not available for them. Same applies to clients who have not followed a provider yet: the My Portfolio tab is not available for them.

Account Management: Clients

Each person willing to use Social Trading has to have a registered client entity. The most common scenario of creating a client for a trader, who owns just one account on the trading platform, is to register as a provider or a follower, and a client entity will be automatically created for them.

Client's Profile

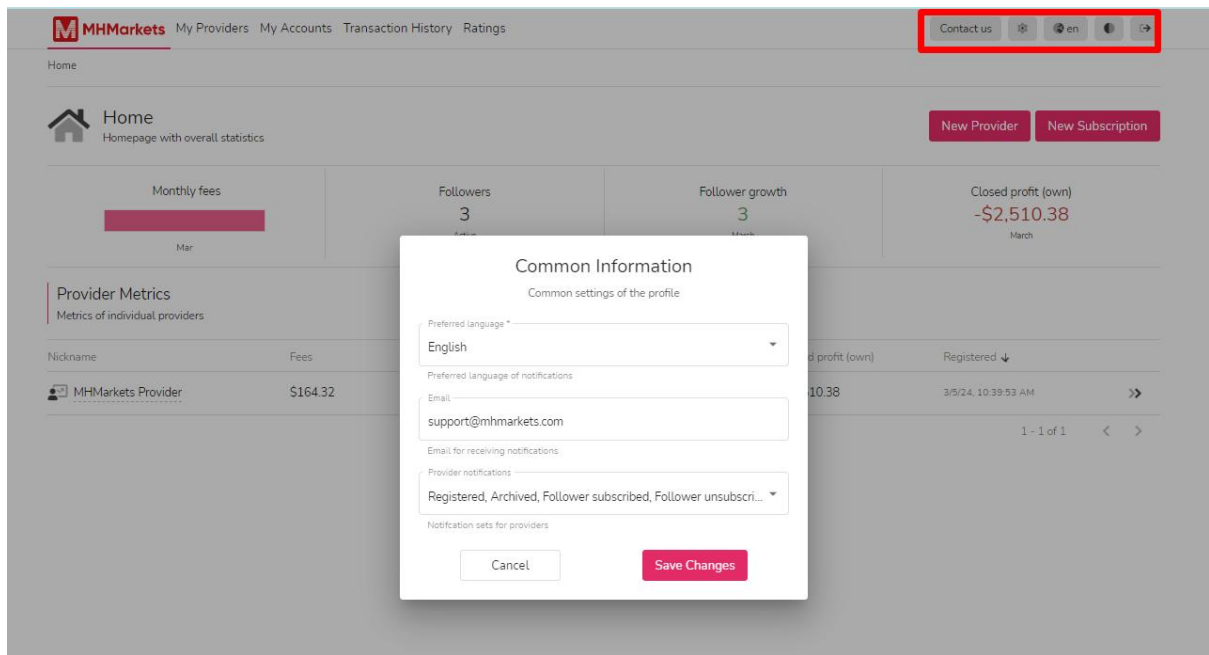
Clients can set up the following personal preferences in their Social Trading portal, available under the 'cog' switcher:

- **Email**

When specified, overrides the one in the trading account's profile. May be useful for the clients who have several trading accounts and want to aggregate all their notifications in one place. Used for receiving Risk management notifications.

- **Language**

The preferred language for notifications. By default, set to the default locale : English.



Adding Trading Accounts

When registering for the first time in the application, a client does it with MetaTrader trading account credentials. This account becomes the Main one. Clients then login into Social Trading with their main trading account's credentials.

The clients can manually bind multiple trading accounts to a client entity. They can later on create providers or followers based on these accounts. Also, a trading account can be used as a separate Fee receiver account of a provider. Trading accounts other than the main one have the 'Additional' status.

i NOTE: A trading account can not be used as a provider account and a follower account at the same time.

Account Management: Providers

To start sharing their trading strategy, a client has to have at least one active provider.

Self-Registration as a Provider

Client: [Client Portal Login](#) → [Register a Provider](#)

Registering a provider is pretty straightforward: fill in the Trading account's credentials and choose a nickname to be displayed publicly on the platform. MHMarkets will ask traders willing to interact with Social Trading to accept Terms and Conditions.

Creating Providers for Registered Clients

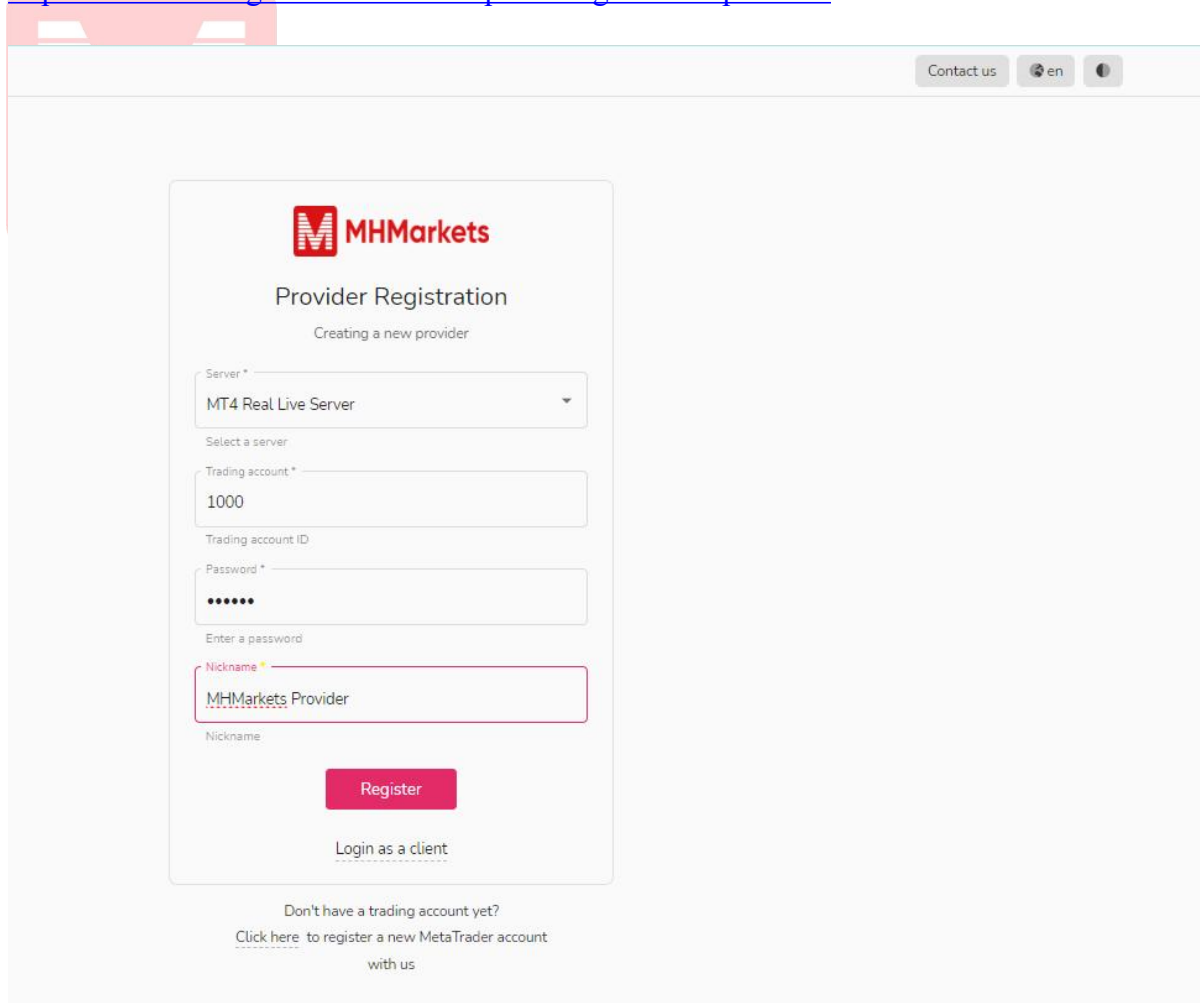
As Client: New Provider

Registered clients can create providers while being already logged in the Client portal. A provider can be created based on a previously added Trading account. Only one provider can be linked to a Trading account. The newly created provider is automatically assigned with the Provider configuration selected in the Client configuration of the host client.

Provider Registration

Provider registration form. Available at:

<https://socialtrading.mhmarkets.com/portal/registration/provider>



The screenshot shows the MHMarkets Provider Registration form. At the top, there's a navigation bar with "Contact us", "en", and a user profile icon. The form itself is titled "Provider Registration" with the subtitle "Creating a new provider". It contains the following fields and elements:

- Server ***: A dropdown menu showing "MT4 Real Live Server". Below it, the text "Select a server" is visible.
- Trading account ***: A text input field containing "1000". Below it, the text "Trading account ID" is visible.
- Password ***: A text input field with masked characters (dots). Below it, the text "Enter a password" is visible.
- Nickname ***: A text input field containing "MHMarkets Provider". Below it, the text "Nickname" is visible.
- Register**: A red button.
- Login as a client**: A link.

At the bottom of the form, there is a link: "Don't have a trading account yet? Click here to register a new MetaTrader account with us".

Provider's Settings

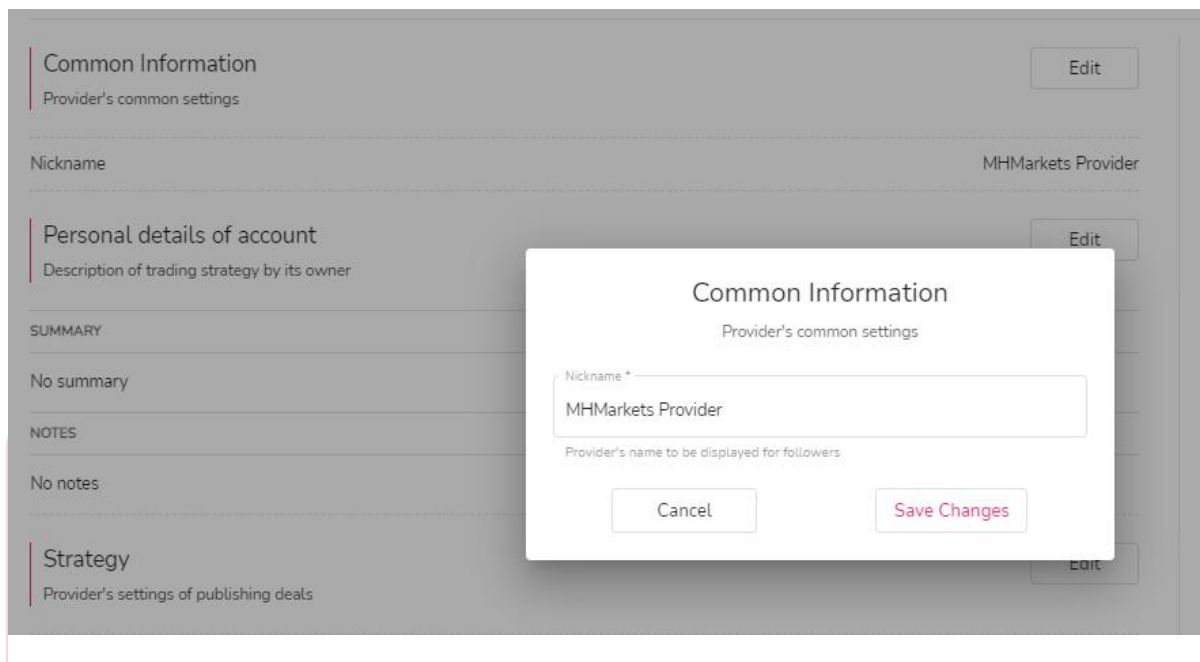
[As Client: My Providers](#) → [Provider #](#)

Once created, each provider has individual settings, including:

- Identity information:

- Nickname

A custom nickname. Visible publicly for followers on the registration page and in Ratings module's widgets.



The screenshot displays the 'Provider's Settings' interface. A modal window titled 'Common Information' is open, showing the 'Provider's common settings' section. The modal contains a 'Nickname *' field with the text 'MHMarkets Provider' and a description below it: 'Provider's name to be displayed for followers'. At the bottom of the modal are 'Cancel' and 'Save Changes' buttons. The background interface shows sections for 'Common Information', 'Personal details of account', 'SUMMARY', 'NOTES', and 'Strategy', each with an 'Edit' button.

- Summary

A brief description. Visible publicly for followers on the registration page and in Ratings module's widgets. Maximum 256 characters, only single line.

- Notes

A long description. Visible publicly for in Ratings module's widgets. Maximum 2048 characters, multi-line;



Personal details of account

Description of trading strategy by its owner

Summary

Provider's brief description visible publicly
Text - bold text
Text - cursive text
[Google](https://google.com) - link
:heart: - emoji (https://www.webfx.com/tools/emoji-cheat-sheet/)

Summary preview

Notes

Provider's description (verbose) visible publicly
Text - bold text
Text - cursive text
[Google](https://google.com) - link
:heart: - emoji (https://www.webfx.com/tools/emoji-cheat-sheet/)

Notes preview

Cancel

Save Changes

- Strategy

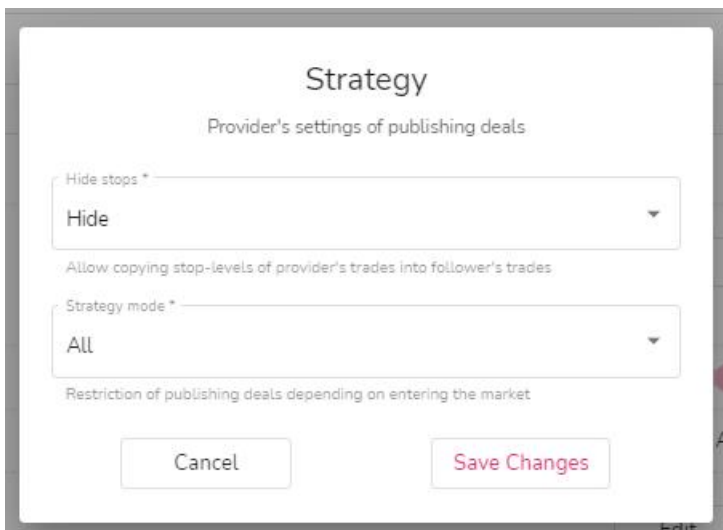
- Hide stops

- ◆ Show - Stop-loss and Take profit levels of provider's positions are synced to the copies of followers.
 - ◆ Hide - SLTP is not synced.

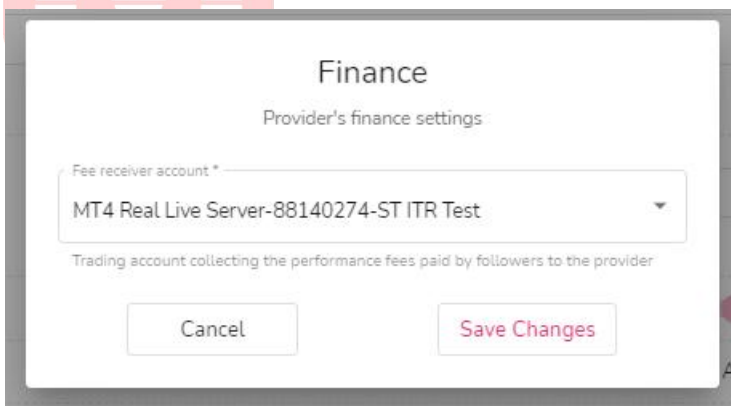
- Strategy mode

- ◆ All - both In and Out deals are copied.
 - ◆ Out only - only Out deals are copied. Out only can be useful to temporarily pause sharing new positions. For example, the provider has discovered a new strategy and wants to test it first before sharing it with the followers. Followers will still copy closures of previously open positions, but not copy new openings. Once the new strategy is tested, the provider resumes sharing In deals. Without this option, to perform such a move, the provider would need to either create a

new account for tests or archive the provider and then create a new one; both would be inconvenient.



- Finance settings, where it is possible to specify a target account for payments (the Fee receiver account). The account can be located on any connected server as long as it belongs to the client. Changing it by the provider must be allowed by Provider configuration.



- If allowed by their Provider configuration, clients can archive their providers on this page as well.

Offers

[Providers](#) → [Provider #](#) → [Offers](#)

New Offer
Create a new offer.

Title *
Performance Fee
The offer's title

Visibility *
Public
Offer's visibility for clients.
Public offers are shown in the list of available offers for followers while they register a subscription.
Private offers are hidden from this list and available only via join links.

Performance fee *
50 %
The specified percent of the followers' profit is paid to the provider by the end of the selected interval.

Interval *
Daily
The periodicity of performance fee payments by followers

Cancel Create

- Offer is a list of conditions by which a provider works with their followers. It determines:
- The fees paid by the followers for the provider's service;
- Periodicity of Performance fees (see Trading intervals) and Management fees payments;
- How this provider can be followed (publicly, with a join link, with an agent);
- Minimum balance a follower account has to have in order to follow the provider.

It is required for a provider to have at least one offer to allow followers to join. providers can create several offers to let followers choose between the joining conditions.

Providers can edit their offers at any time, but if there is at least one subscription already working by an offer, such offer becomes read-only even to its creator.



Account Management: Followers

To start copying trades from a provider, a client has to create a subscription based on a follower account.

Self-Registration as a Follower

[As Client: Client Portal Login → Register a Follower](#)

Just like with providers, clients can create subscriptions by themselves. To subscribe to a provider, a trader can go through the registration process as a follower.

When registering as a follower, a trader needs to specify the MetaTrader credentials of an account which they intend to use as a main trading account, the server where this account is located and fill in the provider information they intend to copy from: the provider's nickname and one of the provider's offers.

If this is the first time the trader registers in Social Trading, the client entity will be created for them along with the follower account and its subscription.

Subscription Registration

Default subscription registration form for followers. Available at:

<https://socialtrading.mhmarkets.com/portal/registration/subscription>

[Contact us](#)
[en](#)


MHMarkets

Subscription Registration

Creating a new subscription

Server *

MT4 Real Live Server

Select a server

Trading account *

1000

Trading account ID

Password *

••••••

Trading account password

Provider *

MHMarkets Provider

Choose a provider to copy from. Click on the chart icon to check trading statistics of available providers.

Offer *

Performance Fee

Select a provider's offer

Register

[Login as a client](#)

Details

Information about the chosen provider and subscription conditions

PROVIDER

Nickname MHMarkets Provider

Visibility Public

Server MT4 Real Live Server

OFFER

Title Performance Fee

Performance fee 10% (Per trade)

Minimum balance \$1,000.00

Don't have a trading account yet?

[Click here](#) to register a new MetaTrader account with us

Creating Subscriptions for Registered Clients

As Client: [Home](#) → [New Subscription, or Followers](#) → [Create](#)

Traders are able to create a subscription while being already logged in as a client. To become a follower, the client needs to create a subscription based on a trading account right from their Client portal.

Unlike the provider, a linked subscription does not limit a trading account to be reserved for just one particular subscription. In other words, a client can create multiple subscriptions while having only one trading account connected.

To create multiple subscriptions on the same trading account, a registered client can repeat either the process of self-registration as a follower (choosing the required trading account), or create one from the Home or My Portfolio pages.

Subscription may be forbidden if a chosen provider has limitations set in their Provider configuration (e.g. if subscription count limit is reached).

New Subscription

Creating a new subscription

Trading account *
88889427 - ST ITR Test

One of the added trading accounts

Provider *
MHMarkets Provider

Choose a provider to copy from. Click on the chart icon to check trading statistics of available providers.

Offer *
Management fee

Select an offer of the provider

☒ I have read offer details and accept that the registration fee will be immediately deducted

Cancel
Create

Details

Information about the chosen provider and subscription conditions

PROVIDER

Nickname
MHMarkets Provider

Visibility
Public

Server
MT4 Real Live Server

OFFER

Title
Management fee

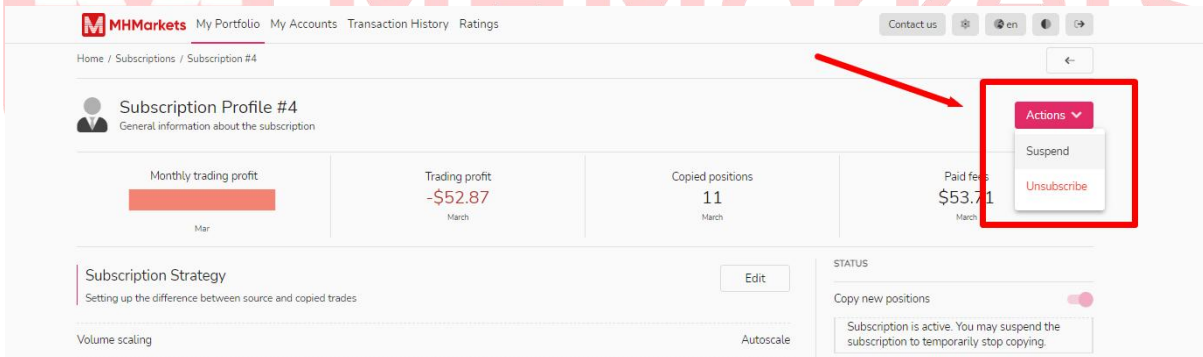
Performance fee
10% (Per trade)

Management fee
\$20.00 (Monthly)

Registration fee
\$30.00

Managing Subscription's Activity

Subscription # → Activate, Suspend, Unsubscribe



Subscription Profile #4
General information about the subscription

Monthly trading profit Mar	Trading profit March -\$52.87	Copied positions March 11	Paid fees March \$53.71
-------------------------------	-------------------------------------	---------------------------------	-------------------------------

Subscription Strategy
Setting up the difference between source and copied trades

Volume scaling Autoscale

STATUS
Copy new positions ☒

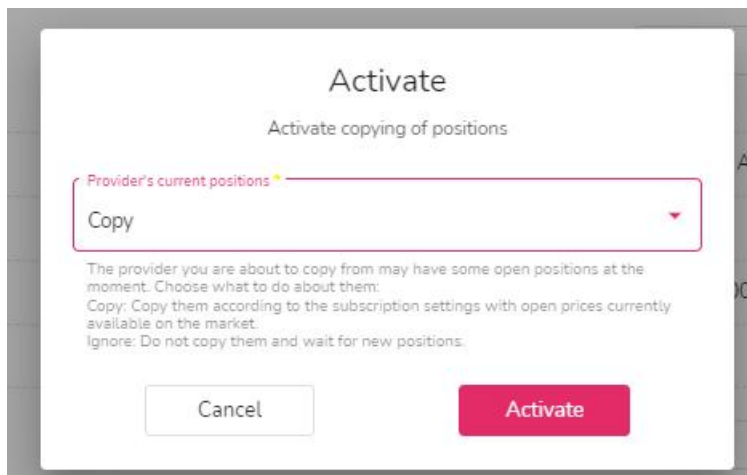
Subscription is active. You may suspend the subscription to temporarily stop copying.

Subscriptions are inactive upon creation, followers must explicitly Activate subscriptions to start copying. This was made to prevent followers from copying unintentional trades from a provider right after subscribing and give followers time to set up their desired Subscription strategy and Provider filters first.

First Activation

A follower has an option to copy current positions of the provider upon the very first activation of the subscription. 'Current' position is a position which is open on the provider's account on the MT server and is tracked by Social Trading as a subject to copy.

Un-tracked positions are not considered 'current' for a new subscription: if, for example, a provider had registered in Social Trading while having two positions open; or, the provider has an open position on their MT account but it is not tracked by Social Trading due to the Out only publishing strategy. The copying is conducted with a delay of 5 seconds max.



Suspending, Re-Activating and Unsubscribing

To stop copying, followers can Unsubscribe. Risk management triggers also launch the Unsubscribe action. Unsubscribing archives a subscription.

Suspending a subscription stops copying as well, but keeps its parameters editable for the follower. For example, the follower has realized that their strategy is not suitable for copying from the provider, and they need some time to come up with a new strategy. While in process, the subscription may be suspended to stop copying new trades (but provider's closures will be reflected still on the follower). Once finished, the follower should press Activate again to start copying, but unlike the first activation, repeated activation don't provide an option to copy the provider's current positions.

Subscription Settings

[As Client: My Portfolio → Subscription #](#)

Once a subscription is created, it becomes available for further tuning. The settings tell the Copy module how to filter the flow of incoming providers' trades, adjust copied volumes and set stop-conditions.



Provider Filters

In this section, a follower can set up certain filters for their subscription. They are applied to trades that are about to be opened as a copy from the provider's original trade. If the provider's deal doesn't meet the filters' conditions, the copy will be skipped. Filters are applied per deal.

i NOTE: The filters are applied only to opening deals.

The section is hidden for traders by default.

i NOTE: The filters can affect how the follower manages their hedged positions (e.g. filtering out the Buy Direction will miss locking an opened Sell position, although the provider has done so). It is recommended to allow only experienced traders to edit them.

There are the following Provider filters:

- Symbol

Filters out the symbol masks (e.g. EUR are symbols starting with EUR..., EUR* are symbols containing '...EUR...' in their names). This filter is available only for the admin.

- Minimum lots

Provider's opening deals, volumes of which are lower than the specified one, will be skipped.

- Maximum lots

Provider's opening deals, volumes of which are higher than the specified one, will be skipped.

- Direction

Provider's opening deals with only the specified direction (Buy/Sell) will be copied, others will be skipped.

Strategy

The Strategy section determines how the follower's copies should differ from the provider's original trades. This includes volume scaling and direction.

Volume scaling options

The options available for the followers are set in Follower configuration → Permissions → Allowed strategies.

- Multiply

The copy must be larger (x2, x3, x10 etc) or smaller (x0.5, x0.01 etc) than the provider's original trade. Recommended for followers who want to directly increase or lower their risks compared to the provider's.

- Auto scale

The copy's volume must be calculated according to the ratio of follower's funds to the provider's funds available on their accounts at the moment of copying. Recommended for followers who know how many funds their provider has.

- Fixed

The copy's volume must be exactly the specified one disregarding the provider's. Recommended for followers who want to know exactly how much to open as a copy.

- Lots proportion

The copy's volume must depend on the follower's current funds. Recommended for followers who want to take risks in relation to their current financial situation.

To learn more about the volume processing and check the calculation examples, please refer to the Copying section.

Direction

This option is available for the followers only if allowed in Follower configuration → Permissions → Reverse strategy. If Forbidden, the direction will be Direct.

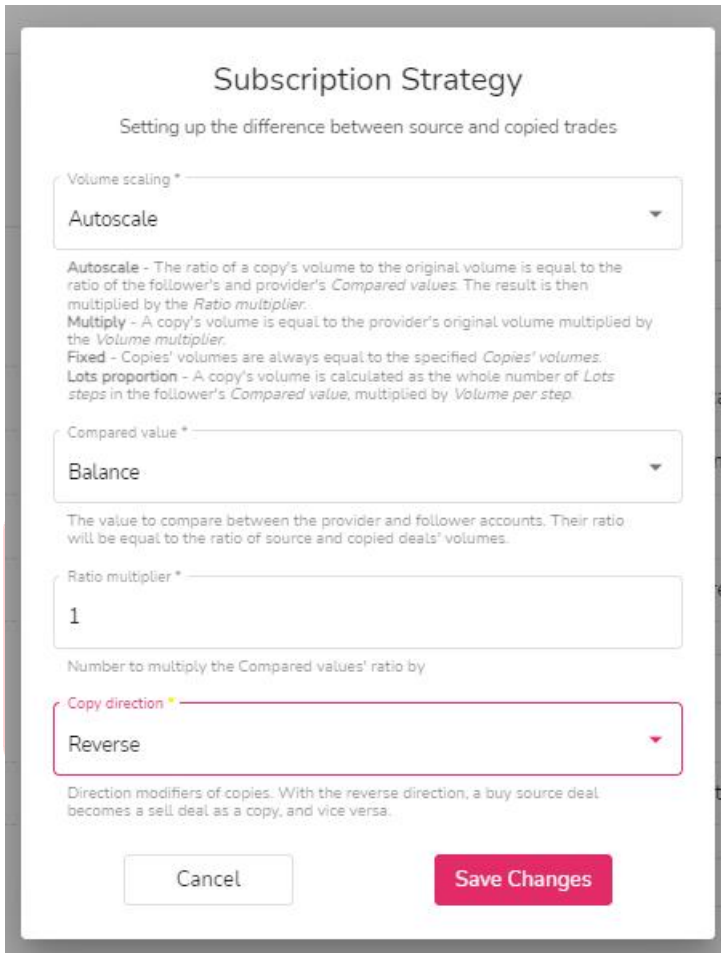
- Direct

The copy must be of the same direction as the provider's original deal (Buy → Buy, Sell → Sell).

- Reverse

The copy must be opened in the opposite direction (Buy → Sell, Sell → Buy).

There can be cases where, for example, the Autoscale strategy would lead to a huge volume of the copy (when the follower's account is substantially larger than the provider's one). The follower may not be ready for such risks, so they can set up a maximum volume they can securely open on their account. If the provider continuously opens the similar volumes, the follower may consider skipping them entirely.



Subscription Strategy
Setting up the difference between source and copied trades

Volume scaling *
Autoscale

Autoscale - The ratio of a copy's volume to the original volume is equal to the ratio of the follower's and provider's Compared values. The result is then multiplied by the Ratio multiplier.
Multiply - A copy's volume is equal to the provider's original volume multiplied by the Volume multiplier.
Fixed - Copies' volumes are always equal to the specified Copies' volumes.
Lots proportion - A copy's volume is calculated as the whole number of Lots steps in the follower's Compared value, multiplied by Volume per step.

Compared value *
Balance

The value to compare between the provider and follower accounts. Their ratio will be equal to the ratio of source and copied deals' volumes.

Ratio multiplier *
1

Number to multiply the Compared values' ratio by

Copy direction *
Reverse

Direction modifiers of copies. With the reverse direction, a buy source deal becomes a sell deal as a copy, and vice versa.

Cancel Save Changes

Risk Management

Follower's Risk Management options can be seen as the Stop Loss and Take Profit levels applied to a whole subscription. If the total sum of profits of all the trades copied by the subscription from its provider reaches a certain level called Threshold, the system takes actions on the copies (e.g. closes them automatically) and on the subscription itself (e.g. suspends it). The exact actions can be set up by the follower in the form of rules, the Threshold is specified in the follower account's currency. There can be only one rule per level type.

The system checks periodically if the levels are reached.

The following actions can be chosen by the follower for the system to take automatically on reaching a level:

- Trading actions

- Close all

Close all open copies of the subscription.

- Close unprofitable

Close the most unprofitable open copy of the subscription. Keeps closing unprofitable positions one by one until the total floating loss is within the acceptable floating loss level (works only in this Risk management condition).

- Close all unprofitable

Close all unprofitable copies of the subscription.

- Keep all

Let all open copies of the subscription stay open.

- Subscription actions

- Keep

Continue copying.

- Suspend

Suspend the subscription.

- Unsubscribe

Archive the subscription.

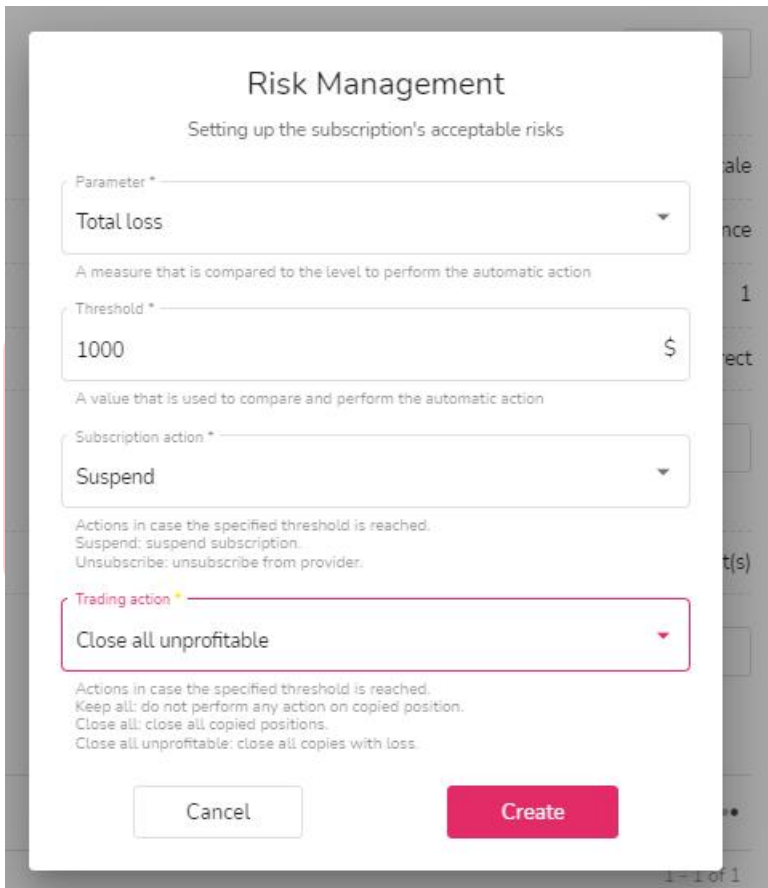
There are the following stop-level types which can be set up per individual subscription:

- Floating loss level

Triggers if floating PnL of all open copies reaches the specified loss level. Example:

- Position 1's floating PnL: -\$500
- Position 2's floating PnL: \$300
- Floating loss level: 200 ⇒ The action is triggered

The following action types can be chosen: **Close all**, **Close all unprofitable**, **Close unprofitable**, **Keep all + Keep**, **Suspend**, **Unsubscribe**. If the **Keep all** trading action and the **Keep** subscription action are selected, the system does nothing with the subscription and positions, just sends an email notification on the reached level.



Risk Management

Setting up the subscription's acceptable risks

Parameter *
Total loss

A measure that is compared to the level to perform the automatic action

Threshold *
1000 \$

A value that is used to compare and perform the automatic action

Subscription action *
Suspend

Actions in case the specified threshold is reached.
Suspend: suspend subscription.
Unsubscribe: unsubscribe from provider.

Trading action *
Close all unprofitable

Actions in case the specified threshold is reached.
Keep all: do not perform any action on copied position.
Close all: close all copied positions.
Close all unprofitable: close all copies with loss.

Cancel Create

Total loss level

Triggers if realized PnL of all copies since the start of the subscription reaches the specified loss level. Example:

- Position 1's realized PnL: -\$500
- Position 2's realized PnL: \$300
- Total loss level: 200 ⇒ The action is triggered



The following action types can be chosen: **Close all, Close all unprofitable, Keep all + Suspend, Unsubscribe**. If the **Keep all** trading action is selected, the subscription action **Keep** can be chosen (basically, do nothing with the subscription and positions, just send an email notification on the reached level).

Total profit level

Triggers if realized PnL of all copies since the start of the subscription reaches the specified profit level. Example:

- Position 1's floating PnL: \$500
- Position 2's floating PnL: -\$300
- Total profit level: 200 $\Rightarrow$ The action is triggered

The following action types can be chosen: **Close all, Close all unprofitable, Keep all + Suspend, Unsubscribe**. If the **Keep all** trading action is selected, the subscription action **Keep** can be chosen (basically, do nothing with the subscription and positions, just send an email notification on the reached level).

By default, Total loss and Total profit levels take into account only realized PnL of closed trade. In addition to the actions above, the system notifies the follower via email. The email address must be specified in the client's profile in order to receive notifications.

Examples

Example 1:

Total Loss level: 1000

Floating Loss level: -

Follower configuration $\rightarrow$ Risk levels' value: Total Profit

Current Realized Loss: -\$990

Current open trades: Trade #1, floating PnL = -\$11; Trade #2, floating PnL = -\$1500

Workflow if provider or follower closes the Trade #1:



1. Total Loss level of realized PnL of the subscription = -1001;
2. Check subscription PnL job triggered by the specified timer (120s by default);
3. Trade #2 gets closed;
4. The subscription gets archived.

Example 2:

Total Loss level: 1000

Floating Loss level: -

Follower configuration → Risk levels' value: Current Profit

Current Realized Loss: -\$990

Current open trades: Trade #1, floating PnL = +\$20; Trade #2, floating PnL = -\$31

1. Total Loss level of the subscription = -1001;
2. Check subscription PnL job triggered by the specified timer (120s by default);
3. Trade #1 and #2 get closed;
4. The subscription gets archived.

Example 3:

Total Loss level: -

Floating Loss level: 500

Floating Loss level action: Close all unprofitable

Current Realized Loss: -\$990

Current open trades: Trade #1, floating PnL = -\$100; Trade #2, floating PnL = -\$399; Trade #3, floating PnL = +\$30

Workflow if floating PnL of Trade #1 becomes -\$132:

1. Floating PnL of the subscription = -501;

2. Check subscription PnL job triggered by the specified timer (120s by default);
3. Trade #1 and Trade #2 get closed;

Example 4:

Total Profit level: 1000

Floating Loss level: -

Follower configuration → Risk levels' value: Total Profit

Current Realized Profit: \$990

Current open trades: Trade #1, floating PnL = \$11; Trade #2, floating PnL = -\$1500

Workflow if provider or follower closes the Trade #1:

1. Total Profit level of realized PnL of the subscription = 1001;
2. Check subscription PnL job triggered by the specified timer (120s by default);
3. Trade #2 gets closed;
4. The subscription gets archived.

Copying: Concept

Copying from one account to another is a pretty straightforward concept, but there are some aspects of it to be considered:

- Copied trades automatically open and close on follower accounts whenever their provider decides to do so. However, followers are free to make their own trading decisions, close the copied trades or open their own, i.e. they continue to trade normally, they will just see some additional trades come and go on their accounts.
- Social Trading knows which trades were copied and which were opened by the follower themselves. Also it knows whether a copied trade was closed by the follower or their provider, to conduct the synchronization of trades properly and not continuously attempt to open a trade once again if it was closed by the follower.



- This said, stop-levels of source and target trades can also differ. So, copies actually technically have 2 SL and 2 TP levels (one own and one from the provider), and the trade's closure triggers at the earliest one.
- By default, Social Trading tries to copy exactly the same trade's parameters (prices, symbols, volumes) as they are on the original trade. But there can be options affecting them (see the sections below).
- Trade copying is disabled if the trading session on a server is closed (e.g. on weekends). Affects both opening and closing deals.

Payments: Concept

Brokers are able to set up various payments among the participants of the social trading scheme. There are the following type of payments:

- Performance fee, paid by followers to providers for their trading strategy sharing service, but only in case the provider helps the follower to generate positive profits;

Payments: Performance Fee

Payment route: [Follower](#) → [Provider](#)

Performance fee is a portion (in percent) of a profitable Trading result of a subscription, which is paid to the provider. In case of a negative Trading result, Performance fee calculation is skipped.

Performance fee calculation is controlled by Follower configurations (Trading result's calculation mode and Trading profits) and offers (Performance fee percentage and Trading interval).

The fee is processed as a pair of withdrawal and deposit balance operations with custom comments. The calculated amount of the fee is withdrawn from the follower as a `WithdrawalPerformanceFee` transaction type and deposited to the provider as a `DepositPerformanceFee` transaction type. By default, the receiver of the fee is the provider's Trading account itself, but if a provider has a Fee receiver account specified in the provider's profile, Performance fee transactions will be routed in there.



Performance Fee Calculation Examples

In general, Performance fee is calculated as:

$$\text{Performance fee} = \text{Subscription's raw profit} * \text{Fee \%}$$

MetaTrader's fees may be included into calculation:

$$\text{Performance fee} = (\text{Subscription's raw profit} + \text{Commission} + \text{Swaps} + \text{Taxes}) * \text{Fee \%}$$

For example, given:

- Performance fee = 20%;
- Interval: Per Trade
- Mode: Positive Profit
- Commission = -\$10/lot
- Taxes = -5% (of Commission)
- Swaps = -\$1
- Trading volume = 0.5 lot
- Raw Profit (based on the open-close price difference) = \$20

Result, if MetaTrader fees are excluded:

- $\text{Performance fee} = \$20 * 20\% = \$4$

Result, if MetaTrader fees are included:

- $\text{Performance fee} = (\$20 + (-\$10 * 0.5 + (-5\%) + (-\$1))) * 20\% = \$2.75$

Example 1:

Given:

- Performance fee = 20%
- Interval: Per Trade
- Trading result Mode: HWM



Steps:

- Trade 1 PnL = \$50 → \$10 Performance fee will be paid out, High-Water Mark set to \$50;
- Trade 2 PnL = -\$50 → No Fee ($\$50 - \$50 = \0 is less than the \$50 Mark);
- Trade 3 PnL = \$20 → No Fee ($\$50 - \$50 + \$20 = \$20 < \50);
- Trade 4 PnL = \$35 → \$1 Fee paid ($\$50 - \$50 + \$20 + \$35 = \$55 > \50 , i.e. $\$55 - \$50 = \$5$, so 20% out of $\$5 = \1), the Mark is updated to \$55;
- Trade 5 PnL = -\$15 → No Fee ($\$50 - \$50 + \$20 + \$35 - \$15 = \40 is less than the new \$55 Mark).
- ...and so on.

Example 2:

Given:

- Performance fee = 10%
- Interval: Weekly
- Trading result Mode: HWM

Steps:

- Week 1 PnL = \$400 → \$40 Performance fee will be paid out;
- Week 2 PnL = -\$200 → No Fee ($\$400 - \$200 = \$200 < \400 HWM);
- Week 3 PnL = \$300 → \$10 Fee will be paid ($\$400 - \$200 + \$300 = \500 ; $\$500 - \$400 = \$100$)
- ...and so on.

Example 3:

Given:

- Performance fee = 20%



- Interval: Per Trade
- Trading result Mode: Positive Profit

Steps:

- Trade 1 PnL = \$50 → \$10 Performance fee will be paid out;
- Trade 2 PnL = -\$100 → No Fee; Trade 3 PnL = \$20 → \$4 Fee will be paid out;
- Trade 4 PnL = \$60 → \$12 Fee will be paid out.

Example 4:

Given:

- Performance fee = 20%
- Interval: Daily
- Trading result Mode: Positive Profit

Steps:

- Day 1 Trade 1 PnL = \$50;
- Day 1 Trade 2 PnL = - \$100;
- Interval's Profit = - \$50 → No Fee
- Day 2 Trade 3 PnL = \$20;
- Day 2 Trade 4 PnL = \$60;
- Interval's Profit = \$80 → \$16 Fee will be paid

Example 5:

Given:

- Performance fee = 10%
- Interval: Daily



- Trading result Mode: HWM
- Floating PnL: Included

Steps:

- Trade 1 closed with realized PnL = \$40 (assuming that the previous HWM level is \$0);
- Trade 2 is open, floating PnL = \$20
- Trading day ends → Interval ends → Performance fee calculated = Trading Result * 0.1
= (\$40 + \$20)*0.1 = \$6, All-time High-Water Mark level = \$60
- Trade 2 is still open, floating PnL = \$50
- Trading day ends → Interval ends → Performance fee calculated = \$3, because we already took the fee from \$20 floating PnL of Trade 2, it earned \$30 more floating PnL for which we charge additionally on the next interval. All-time High-Water Mark level = \$90

Ratings Module

Social Trading comes with the Ratings module - a tool to track providers' trading performance and represent it as a set of statistics parameters.

Rating Module, Available at:

<https://ratings.mhmarkets.com>

Filters

Order By *
Rating

Sorting direction *
Descending

Refresh

Return (total)

-95.94%

Registration date

2022.06.10

Total profit

-\$2,966.66

Average profit

0.62%

Equity

\$5,213.05

Rating

-226.735

Invest

Return (total)

-91.04%

Registration date

2024.01.29

Total profit

-\$361.05

Average profit

10.56%

Equity

\$9,958.95

Rating

-217.73

Invest

Return (total)

-7.54%

Registration date

2022.10.22

Total profit

-\$76.00

Average profit

0%

Equity

\$1,209.81

Rating

-17.58

Invest

Return (total)

-5.42%

Registration date

2023.09.18

Total profit

\$66.69

Average profit

4.16%

Equity

\$1,109.04

Rating

-2.73

Invest

Return (total)

-95.94%

Return (1D)

-0.25%

Age (Days)

648

Return

Trading

Instruments

Equity

Return/period

Information about the account's return changes over time

-95.94%

All time

-95.94%

Year

-95.94%

Half year

-95.94%

Quarter

-95.94%

Month

0.25%

Week

-0.25%

Day

All Time

3 Months

1 Month

Week

Daily

Volatility ratio

-0.01

Sharpe ratio

-0.13

Recovery factor

0.00

Max profit

40.78%

If you have already established a trade account, you may submit a request for application by sending an email to support@mhmarkets.com. Afterwards, you can proceed to register or log in by clicking on "Follow Community."

Page 30 of 31

Real Account

Demo Account

Please select MT Service

Please select leverage

Search

Reset

Account with the same name

Transfer

5000302 / MT5 / ECN / 1:100

MohicansMarkets-Live

Balance

0.00

Equity

0.00

Credit

0.00

Transfer

Follow community



MHMarkets